

Daily Market Summary

August 05, 2026

No US trading session on 2026-08-06. Figures are from the last session (2026-08-05).

Market Tone — Today's Session

A recap of how the market traded today — not a forecast.

Today: -0.12 → Slightly Bearish

Trend (5-day EMA): +0.08 → Neutral — smoothed, the readable day-over-day signal.

Component	Weight	Score
Market data	70%	-0.06
News headlines	20%	-0.42
Fed (rate expectations)	10%	+0.03

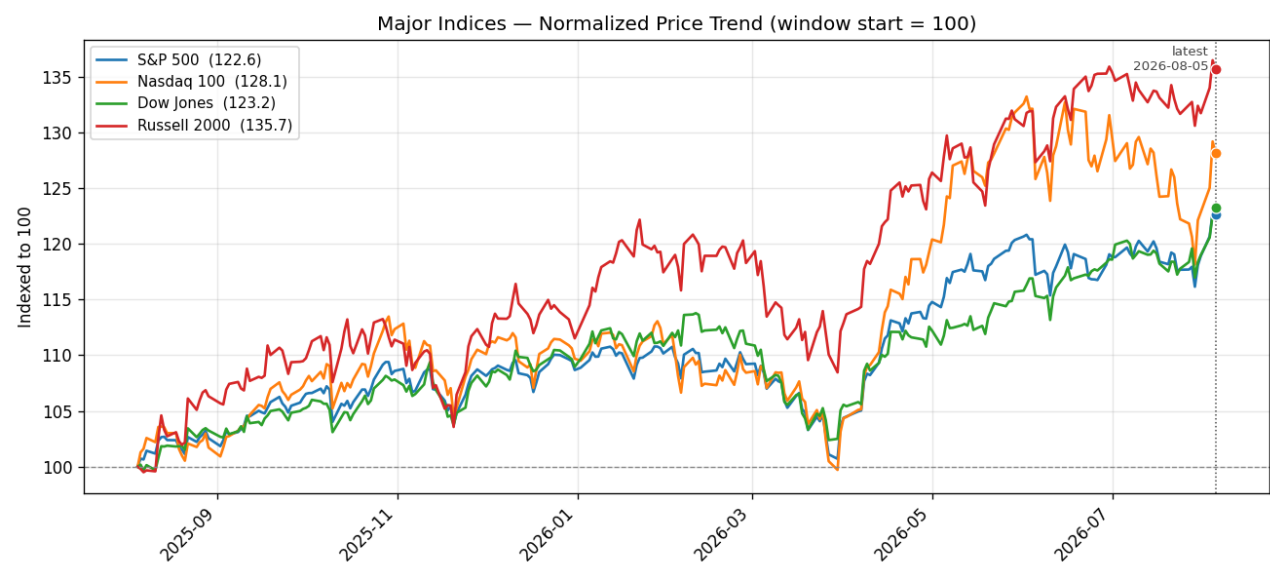
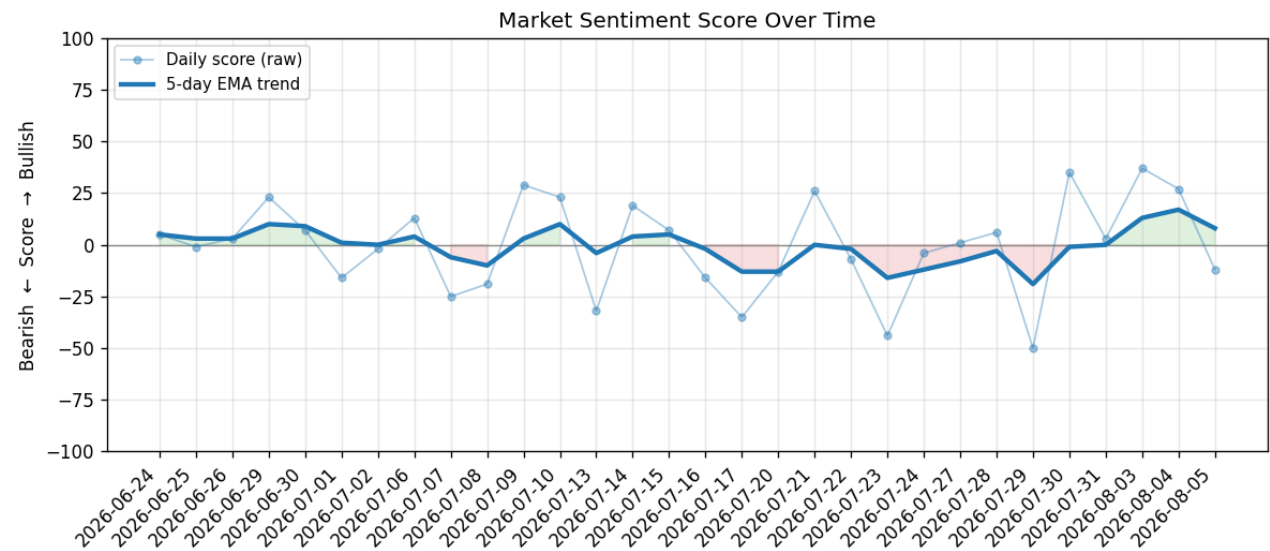
Equities fell with Nasdaq -0.8%, S&P 500 -0.2%, VIX -4.2%. Sector breadth: 5/11 sectors up. 10Y yield -0.2%. News headlines read bearish. Fed-policy expectations eased (13-Week T-Bill Yield -0.5bp). Today's overall market tone: Slightly Bearish. (news scored with finbert)

Standout headlines

Most bullish (+0.78) — Fed Governor Cook says she's 'prepared to act' on rate hike to address inflation

Most bearish (-0.94) — Alphabet's stock drops as Google loses another key AI executive

Trend Charts



Sector Watch (AI Stack)

Score describes the day: driven by the session move (70%), with breadth (avg % of the 20/50-day MAs the basket trades above, 15%) and news (15%) for texture. Relative strength (vs the Nasdaq for tech baskets, the S&P for the rest) is shown as a context column but doesn't drive the label. Sorted strongest→weakest.

Sector	Move	Rel. Str.	Breadth	News	Overall
Pharma / Healthcare	+1.16%	+1.33% vs S&P	81%	Slightly Bullish	Bullish (+0.59)
Consumer	+0.92%	+1.09% vs S&P	69%	Slightly Bearish	Bullish (+0.46)
Banking	+0.56%	+0.73% vs S&P	94%	Neutral	Bullish (+0.44)
Networking / Interconnect	+0.03%	+0.86% vs Nasdaq	79%	Slightly Bullish	Slightly Bullish (+0.25)
SaaS	-0.78%	+0.05% vs Nasdaq	100%	Neutral	Slightly Bearish (-0.18)
Semiconductors / Compute	-1.44%	-0.61% vs Nasdaq	55%	Neutral	Bearish (-0.54)
Hyperscalers & Neoclouds	-1.72%	-0.89% vs Nasdaq	64%	Neutral	Bearish (-0.60)
Memory (DRAM/NAND/HBM)	-3.14%	-2.31% vs Nasdaq	0%	Slightly Bearish	Bearish (-0.91)

Positioning & Regime

Was today bullish or bearish, read through positioning: out-of-the-money put/call volume (hedging vs chasing, daily) and short %-of-float (squeeze fuel; exchange data, biweekly) explain the character of the day's move — squeeze rebound, hedged advance, conviction selling. **Under evaluation** — logged daily, drives no scores.

Basket	OTM P/C	Short Flt	Day	Today's Read
Banking	1.37	0.0%	+0.56%	Bullish — advance, but heavily hedged — protection still bid
Pharma / Healthcare	1.10	1.8%	+1.16%	Bullish — broad advance; positioning unremarkable
Networking / Interconnect	0.79	4.3%	+0.03%	Neutral — quiet session
Consumer	0.70	2.0%	+0.92%	Bullish — broad advance; positioning unremarkable
Memory (DRAM/NAND/HBM)	0.64	5.7%	-3.13%	Bearish — decline without hedging demand — flows not panicked
Hyperscalers & Neoclouds	0.61	1.7%	-1.72%	Bearish — decline without hedging demand — flows not panicked

SaaS	0.60	5.4%	-0.78%	Bearish — decline without hedging demand — flows not panicked
Semiconductors / Compute	0.54	2.4%	-1.45%	Bearish — decline without hedging demand — flows not panicked
All tracked	0.61	2.4%	+0.10%	Neutral — quiet session

Bloomberg News Summary

The Close

The Close 8/5/2026 (aired 2026-08-05) · Full-transcript summary · [watch on YouTube](#)

Key takeaways

- **S&P 500 snapped four-day win streak**, falling 0.2% after hitting a record high Tuesday, while the Dow notched another record close. The pullback was driven by tech weakness, particularly AMD (down 7%) and Alphabet (down 4%), though materials and healthcare sectors gained.
- **Memory chip earnings disappointed**: Sandisk shares fell ~5% despite crushing Q4 expectations with \$39.25 EPS vs. \$34.37 estimate, as current-quarter revenue guidance of \$10.8B missed estimates of \$11.16B. Western Digital dropped 9% on similar concerns about forward demand despite beating quarterly numbers.
- **Strong earnings from travel and retail**: Expedia surged 5% after hours on raised guidance; Shopify jumped 17% on revenue growth exceeding 30% for the sixth straight quarter; Eli Lilly rose 4.5% on obesity drug strength.
- **Hedge funds navigated July volatility**: Despite high-profile blowups like Situational Awareness, multi-strategy funds showed resilience with diversified approaches limiting damage from the AI trade correction. Starboard disclosed a \$700M stake in Shake Shack (up 11%).
- **Disney's streaming business hit profitability milestone** with 64% profit growth in entertainment, though ad sales rose just 3%, highlighting the linear-to-streaming transition challenge.

Guest views

- **Mithra Warrier, Scotiabank** – July's hedge fund turmoil reflected AI concentration risk, but multi-strategy funds' diversification and risk management prevented systemic calamity; the industry remains well-positioned.
- **Evan Schapiro, fmr NBC Universal** – Disney's TikTok integration via "Verts" smart move to capture vertical video consumption and youth audiences while maintaining brand safety through curation.
- **Sheila Kahyaoglu, Jefferies** – Defense primes finally showing re-acceleration with Raytheon defense up 18%, driven by U.S. and NATO budget growth; Boeing's 737 MAX Seven certification a positive step.
- **Emily Field, Barclays** – Eli Lilly's obesity drug momentum shows penetration still in low single digits globally despite hype, with long runway ahead across expanding indications like sleep apnea.
- **Mark Newman, Bernstein** – Sandisk's conservative guidance typical given recent volatility, but 140% prior quarter pricing growth normalizing; positive pricing with volume growth remains excellent formula.

Stocks & sectors discussed

Materials and healthcare led sector gains; tech and communication services lagged. Nvidia +3.4% on SpaceX exclusive chip deal; Shake Shack +11% on Starboard stake; AMD -7% post-earnings; Best Buy downgraded at Jefferies on laptop pricing pressures from memory shortage.

"There's a difference between being a local and a tourist. We are the locals." – Ridgepost Capital executive on competing with mega-firms like Apollo and Goldman in middle-market private equity

Top Gainers

Company	Price	% Change
Materion Corporation (MTRN)	297.08	+30.81%
Select Water Solutions, Inc. (WTTR)	22.26	+20.32%
Shopify Inc. (SHOP)	144.24	+16.98%
Bending Spoons S.p.A. (BSP)	43.75	+16.82%
UroGen Pharma Ltd. (URGN)	46.43	+16.31%

Top News

Block slashed 40% of its workforce for AI — and its earnings suggest that’s paying off — [MarketWatch \(Top\)](#)

“We can ship higher-quality products much, much more quickly,” an executive said in the wake of the company’s better-than-expected earnings report

Fed Governor Cook says she’s 'prepared to act' on rate hike to address inflation — [CNBC \(Finance\)](#)

Cook was part of a 9-3 majority that voted last week to keep the central bank’s benchmark borrowing rate in a range between 3.5%-3.75%.

Meta AI model hacks another company during testing — [Investing.com](#)

Why AT&T, Verizon and T-Mobile shares are down after SpaceX’s earnings — [MarketWatch \(Top\)](#)

SpaceX thinks it will be able to build wireless capabilities without massive network investments.

As Warsh and the Fed contemplate fewer meetings, markets brace for potential volatility ahead — [CNBC \(Finance\)](#)

Since taking office in May, Warsh has implemented several measures that reverse decades of Fed culture.

Market Snapshot

Major Indices

Instrument	Price	Change	% Change
S&P 500	7,723.55	-12.97	-0.17%
Nasdaq 100	29,487.79	-245.37	-0.83%
Dow Jones	54,349.12	+263.24	+0.49%
Russell 2000	3,019.19	-17.79	-0.59%
VIX	15.81	-0.69	-4.18%

Key Stocks

Instrument	Price	Change	% Change
Nvidia	219.22	+7.28	+3.43%
Microsoft	487.46	-5.35	-1.09%
AMD	482.05	-36.53	-7.04%
Meta	588.77	+0.83	+0.14%
Alphabet	360.13	-15.22	-4.05%
Broadcom	418.28	+0.12	+0.03%
Micron	893.19	+0.52	+0.06%
Intel	101.06	+0.20	+0.20%
SanDisk	1,350.50	-77.12	-5.40%
Coherent	328.22	+4.49	+1.39%
Amazon	272.65	-4.77	-1.72%
Apple	311.00	+1.62	+0.52%
Arm	274.58	-5.98	-2.13%

Commodities & Crypto

Instrument	Price	Change	% Change
Gold	4,355.40	+50.20	+1.17%
Crude Oil	74.75	-0.47	-0.62%
Bitcoin	64,536.64	+247.27	+0.38%

FX Rates

Instrument	Price	Change	% Change
EUR/USD	1.16	+0.00	+0.02%
USD/JPY	157.71	+0.04	+0.02%
GBP/USD	1.35	-0.00	-0.03%

Interest Rates

Instrument	Price	Change	% Change
10Y Treasury Yield	4.62	-0.01	-0.22%
13-Week T-Bill Yield	3.73	-0.01	-0.13%

Analyst Summary

Market Overview

U.S. equities diverged sharply on Thursday as a rotation out of technology stocks pushed the Nasdaq 100 down 0.83%, while defensive and value sectors lifted the Dow Jones to a fresh record, up 0.49%. The S&P 500 dipped 0.17%, snapping a four-day winning streak, while the VIX fell 4.2% to 15.81, suggesting the selloff was orderly rather than panic-driven. The Russell 2000 declined 0.59%, pressured by sector-specific weakness.

Semiconductor Divergence and AI Spending Concerns

Technology was the session's clear laggard, driven by mounting concerns over AI capital expenditure and memory chip demand. **AMD plunged 7.04%** following earnings, while **Alphabet dropped 4.05%** amid reports of another key AI executive departure. **SanDisk tumbled 5.40%** despite crushing Q4 earnings expectations, as its current-quarter revenue guidance of \$10.8B missed the \$11.16B consensus—signaling potential demand normalization after quarters of explosive pricing growth.

In stark contrast, **Nvidia surged 3.43%** on news of an exclusive chip supply deal with SpaceX, though reports suggest **SpaceX itself declined** on Wall Street concerns about the magnitude of its AI infrastructure spending. The Memory sector overall fell 3.14% with 0% breadth, while Semiconductors/Compute dropped 1.44%, both exhibiting bearish trends. Notably, put/call ratios remained subdued across tech sectors (0.54–0.64), indicating declines occurred without panic hedging—a sign of controlled profit-taking rather than capitulation.

Standout Gainers and Sector Strength

Among the market's top gainers, **Materion Corporation (MTRN) soared 30.81%**, **Select Water Solutions (WTTR) jumped 20.32%**, and **Shopify (SHOP) surged 16.98%** on revenue growth exceeding 30% for the sixth consecutive quarter. **UroGen Pharma (URGN)** climbed 16.31%, reflecting strength in the Healthcare sector, which advanced 1.16% and showed a bullish sentiment profile (P/C 1.10, +59 positioning score).

Banking (+0.56%) and Consumer (+0.92%) sectors also outperformed, both displaying bullish trends with strong breadth (94% and 69%, respectively). Banking's elevated put/call ratio (1.37) suggests investors remain heavily hedged despite the advance, reflecting caution around rate policy.

Monetary Policy and Cross-Asset Signals

Fed Governor Cook's comments that she is "prepared to act" on rate hikes to address inflation kept yields in focus, though the 10-year Treasury yield edged down just 1 basis point to 4.62%. The dollar remained largely flat against major currencies, while **gold rallied 1.17%** to \$4,355—a classic defensive bid amid equity volatility and rate uncertainty.

Oil slipped 0.62%, and Bitcoin gained a modest 0.38%, suggesting risk appetite remains intact but cautious. The combination of falling VIX, rising gold, and tech weakness points to a quality rotation rather than broad risk-off sentiment.